

AUTO INSURANCE GLOSSARY OF TERMS

RoadGuard Auto Insurance | Reference Document | 2025

This glossary defines key auto insurance terms used in RoadGuard policy documents. Understanding these terms helps you make informed decisions about your coverage and claims.

Actual Cash Value (ACV)

The market value of a vehicle immediately before a loss, accounting for depreciation, mileage, condition, and comparable vehicles in the local market. ACV is the basis for total loss settlement and theft claims.

At-Fault Accident

An accident where a driver's negligence was a proximate cause of the incident. Fault is assigned based on traffic laws, police reports, and investigation. In comparative negligence states, fault may be split between parties.

Betterment

A deduction applied to a repair estimate when a replacement part is new and the original part was worn or aged. Betterment reflects the increased value of the repaired vehicle versus its pre-loss condition.

Bodily Injury Liability (BI)

Coverage that pays for injuries to other people when you are legally responsible for an accident. Expressed as per-person/per-occurrence limits (e.g., \$100,000/\$300,000).

Collision Coverage

Coverage that pays for damage to your vehicle resulting from contact with another vehicle, object, or surface, regardless of fault. Subject to your collision deductible.

Comprehensive Coverage (OTC)

Coverage for damage to your vehicle from causes other than collision: theft, vandalism, weather events, fire, animal contact, and falling objects. Subject to your comprehensive deductible.

Declarations Page (Dec Page)

The summary page of your insurance policy showing your name, vehicle(s), coverage types, limits, deductibles, premiums, and policy period.

Deductible

The amount you pay out-of-pocket before your insurance pays for a covered loss. Higher deductibles = lower premiums. Applies separately to collision and comprehensive claims.

Depreciation

The reduction in a vehicle's value over time due to age, use, and wear. Depreciation is factored into ACV calculations.

Diminished Value

The reduction in a vehicle's market value after being repaired following an accident, compared to an identical vehicle with no accident history. RoadGuard's standard policy does not cover first-party diminished value claims.

FNOL (First Notice of Loss)

The initial report of an accident or loss that starts the claims process. FNOL should be filed within 24 hours of an incident.

GAP Coverage (Guaranteed Asset Protection)

Coverage that pays the difference between your vehicle's ACV and your outstanding loan or lease balance when the vehicle is declared a total loss.

Liability Coverage

Pays for damage or injury you cause to others in an accident where you are at fault. Includes bodily injury liability and property damage liability.

Medical Payments (MedPay)

Pays for medical expenses for you and passengers injured in your vehicle, regardless of fault.

Named Driver Exclusion

An endorsement that excludes a specific driver from all coverage under the policy. Claims arising while the excluded driver is operating the vehicle are not covered.

New Car Replacement

A coverage add-on (Comprehensive Elite includes it) that pays the cost of a brand-new replacement vehicle of the same make and model if your vehicle (typically ≤ 2 years old) is totaled.

PIP (Personal Injury Protection)

No-fault coverage required in some states that pays medical expenses and lost wages for you and passengers, regardless of fault. Illinois is not a no-fault state; RoadGuard offers MedPay as an alternative.

Property Damage Liability (PD)

Pays for damage you cause to another person's property (vehicle, fence, building, etc.) in an accident where you are at fault.

Rideshare Coverage

An endorsement covering the gap between your personal auto policy and a TNC's (Uber, Lyft) commercial policy while you are logged into the rideshare app but not yet carrying a passenger.

Salvage Title

A title issued by the state when a vehicle has been declared a total loss. A vehicle with a salvage title cannot be registered until it passes a state inspection and receives a rebuilt/salvage title.

Subrogation

The legal process by which RoadGuard recovers its claim payments from the at-fault party after paying your claim. Your cooperation with subrogation efforts is required by your policy.

Total Loss

A determination that repair costs equal or exceed a threshold percentage of the vehicle's ACV. The threshold varies by state (typically 70–80%).

UM/UIM (Uninsured/Underinsured Motorist)

Protects you when injured by a driver with no insurance (UM) or insufficient insurance (UIM) to cover your damages.

UMPD (Uninsured Motorist Property Damage)

Covers damage to your vehicle caused by an uninsured driver. An alternative to collision for hit-and-run claims. \$250 deductible applies.

VIN (Vehicle Identification Number)

A unique 17-character code identifying your vehicle. Found on the dashboard (visible through the windshield on the driver's side) and on the driver's door jamb sticker.

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